تام المالية
TAM CAPITAL

PROCUREMENT & DISPOSAL POLICY

V1_JUN 2025

Approved by: **Board of Directors**
Date: [DD/MM/YYYY] (Place Stamp)

Document Control

Prepared By	CFO
Reviewed By	CEO
Endorsed By	Executive Committee
Approved By	Board of Directors
Custodian	

Change Control

Ver.	Date	Brief Description of Changes
1		Initial Document

Issue Control

Sr. No.	Copy Holders
1	Board of Directors
2	Executive Committee
3	CEO
4	CFO
5	Finance Staff

TABLE OF CONTENTS

Clause #	Subject	Page #
1	**INTRODUCTION**	4
1.1	Scope	4
1.2	Definitions	4
2	**REFERENCE TO REGULATIONS & OTHER INTERNAL DOCUMENTS**	5
3	**POLICY STATEMENTS**	5
3.1	Rules of Engagement	5
3.2	Vendor Management & Evaluation	5
3.3	Outsourcing	7
3.4	Payments	8
3.5	Ethics & Principles	8
3.6	Disposals	8
4	**RESPONSIBILITIES – ZAKAT & TAX**	9
5	**AMENDMENT TO THE POLICY**	9

1. INTRODUCTION

This policy has been reviewed and approved by the Board of Directors ("BoD") of Tam Capital (hereinafter referred to as "the Company"). It serves as a binding document outlining the Company's official policies.

The Procurement & Disposal Policy defines the guidelines and procedures governing the procurement of goods and services, as well as the disposal of physical fixed assets, essential for fulfilling the Company's operational needs.

The primary purpose of this policy is to provide clear guidelines for all departments on conducting procurement, vendor-related activities, and disposal of physical fixed assets. It ensures these processes align with risk management, internal controls, and best practices to achieve value for money while meeting required quality, specifications, and scope.

1.1 Scope

a) All purchases of goods, services, or consultancy using Company funds must be carried out in compliance with this Policy.
b) This Policy applies to all Company employees, officers, consultants, and agents who are directly or indirectly involved in the procurement process.
c) All contracts must be prepared in accordance with this Policy, and external parties are expected to adhere to the principles outlined in their respective agreements.
d) If procurement is handled by a vendor, it shall follow its own procurement policies and any relevant agreements made with the department. Such agreements must undergo internal or external legal review to ensure compliance with applicable laws. Any breach of these agreements will be the responsibility of the party in violation.
e) This Policy also governs the disposal of physical fixed assets.

1.2 Definitions

Contract: A formal, legally binding written agreement between Tam Capital and a qualified party for the provision of specialized services. It outlines key details such as pricing, duration, and payment terms. Examples include agreements for new systems, maintenance, or specific service engagements.

Agreement: A structured arrangement between Tam Capital and a vendor for specific items, pricing, and delivery terms. Typical examples include stationery, courier services, and computer accessories.

Direct Purchase: Transactions that are not governed by a formal contract or agreement. These include expenses such as government or regulatory fees, and purchases of consumables or computer peripherals.

Financial Authority: The maximum monetary limit assigned to certain management personnel, as defined in the Delegation of Authority Matrix. This enables them to approve expenditures in accordance with established rules and approved budgets.

2. REFERENCE TO REGULATIONS & OTHER INTERNAL DOCUMENTS

The policy may be read in conjunction with following regulations and internal documents:

- Delegation of Authority Matrix
- Fraud Risk Policy
- Code of Conduct
- Other relevant regulations and policies

3. POLICY STATEMENTS

3.1 Rules of Engagement

a) All purchases must be made within the approved budget.

b) Orders must not be split into smaller amounts to bypass the financial authority limits defined in this policy and DAM.

c) When applicable, a proper analysis should be conducted in accordance with the guidelines outlined in this policy.

d) Engagement documents must clearly define the type of service, scope of work, submission method, execution timeline, cost, payment terms, and must include approval from the head of the requesting department.

3.2 Vendor Management & Evaluation

a) Vendor List Maintenance

Each department must maintain a pre-approved list of vendors to meet Company's service and product needs. This list should follow criteria in Annexure I and be approved by the Procurement Committee. Use of non-listed vendors must be justified.

b) Vendor Clearance

All local vendors must be vetted by the Corporate Governance Function to address related party transactions and conflict of interest risks. Required documents include:

- Commercial Registration (CR)
- Bylaws (showing ultimate ownership)
- Zakat Certificate
- VAT Certificate (upon CFO request)
- GOSI Certificate (case by case)

Exemptions:

- Publicly listed companies (local/international)
- CEO may waive some documentation based on service nature, amount, and risk level.
- International vendors must provide CR, Bylaws, and any relevant documents.

c) Vendor Selection

At least two vendor quotations must be obtained for purchases, unless impractical. Justification is required for sole sourcing.

d) Procurement Committee

Comprised of:

- CFO
- COO
- Head of IT

(Alternates may be nominated with CEO approval. Requesting departments may attend when needed. Email approvals are acceptable.)

e) Procurement Process

Requests must be within the approved budget and follow the Delegation of Authority Matrix (DAM).

- **IT-related items**: Handled by IT Department
- **Non-IT items**: Handled by Finance Department

Purchase Method	Threshold	Approval
At least 2 proposals	Above SAR 100,000	As per DAM
Direct Purchase (no quotes)	SAR 1 – 100,000	As per DAM

f) Evaluation and Limits0

- Technical and financial evaluations are required for purchases above SAR 100,000.
- Annual purchase limit from a single vendor without quotations is SAR 1,000,000. CEO approval is required beyond this.

g) Exceptions for Single Quotations

Single quotations for purchases over SAR 100,000 may be accepted with Procurement Committee and CEO approval in cases such as:

- Specialized or exclusive products/services
- Limited qualified vendors
- Alignment with SAIB-approved vendors

- Ongoing project needs or renewals
- Urgent business requirements

h) Security and Legal Reviews

- Cybersecurity risk assessments are mandatory for IT services or vendors operating within Company premises.
- All vendor agreements must be legally reviewed in coordination with Corporate Governance.
- Information Security must review any contracts where vendor access to Company data or systems is involved.

i) Contract Management

- Termination or cancellation of contracts requires Legal and CEO approval.
- Requesting departments must manage all procurement records with support from the Procurement Committee.
- Vendor records must be updated and renewed every three (3) years.

3.3 Outsourcing

a) Tam Capital must conduct proper due diligence before outsourcing any function (again refer to Annexure 1), ensuring that the selection of external parties complies with regulatory requirements.

b) A comprehensive assessment must be performed to determine the suitability of the service provider. This includes evaluating their:

- Track record
- Legal and financial standing
- Technical expertise
- Operational capabilities
- Business continuity plans

The scope and limits of delegation must be clearly documented.

c) The Company must implement effective oversight mechanisms to monitor outsourced activities and take corrective action if performance issues arise.

d) Outsourced service providers must comply with cybersecurity requirements:

- Cybersecurity processes must be clearly defined, approved, and communicated.
- Information Security must participate in assessing cyber risks for all outsourced services.
- Cybersecurity compliance must be reviewed periodically.

e) All outsourcing must comply with applicable national laws and regulations.

f) Security operations monitoring services may only be outsourced to providers based in Saudi Arabia.

3.4 Payment Procedures

a) All payments must be properly approved in line with this Policy and the Delegation of Authority Matrix (DAM).

b) Vendors must submit invoices directly to the Requesting Department, which is responsible for verifying that the goods or services were delivered as per the contract.

c) Once approved, the invoice is forwarded to the Finance Department for verification and payment processing.

d) Payments should be made within 15 working days or according to the agreed credit terms from the date of invoice submission.

3.5 Ethics and Principles

All individuals involved in procurement activities must uphold Company's reputation and maintain trust by adhering to the Code of Conduct, as well as the policies on Chinese Walls and Conflict of Interest Management.

Procurement will be conducted with the aim of obtaining value for money. Obtaining value for money does not necessarily mean obtaining the lowest price possible, but rather represents the best return on investment.

3.6 Disposals

All disposals of physical fixed assets will be managed by the Finance Department:

a) Departments intending to dispose of assets must submit a detailed list to the Finance Department.
b) Finance will obtain the book value of the listed assets.
c) Disposal decisions for assets with a book value of SAR 5,000 or less can be made by the Chief Financial Officer (CFO) and Chief Operating Officer (COO) jointly.
d) The cost/value of all items must be verified prior to disposal, and the process must comply with applicable policies, including the Finance Policy.
e) While book value is a consideration, fair market value should also be assessed in the decision-making process.
f) Donations of old assets may be considered, subject to CEO approval.
g) Disposal procedures may vary depending on the type of asset and will be handled on a case-by-case basis.
h) CEO approval is required for disposal of any asset with a book value exceeding SAR 5,000.

4. RESPONSIBILITIES

Procurement Committee shall ensure that this policy is applied for all procurement requests at Tam Capital and ensure availing services, or acquiring goods at best quality and prices, i.e., value for money and as per the required scope, or specification.

Also, to make sure that conflicts of interest and related parties clearance are obtained for each procurement request.

Finance Department shall ensure proper documentations, controls, processes and procedures are adhered to whilst making any payments, and to report any finding to CEO.

User departments to follow laid down guidelines in the best interest of the Company.

5. AMENDMENT TO THE POLICY

This policy document will be reviewed and updated at least once every three years or as and when needed, and the owner of the policy has to be vigilant of any required amendments or updates.

ANNEXURE 1 – SERVICE PROVIDER DUE DILIGENCE FORM

Item	Description	Notes / Attachments
اسم مزود الخدمة التقنية Technology Service Provider Name		
الكيان القانوني Legal Entity Type		
رقم وتاريخ السجل التجاري CR Number & Date		
المقر الرئيسي / المدينة Headquarters / City		
نوع الخدمات التقنية المقدمة Type of Tech Services Provided		
رابط الموقع الرسمي Website		
جهة الترخيص / التنظيم (إن وجدت) Licensing/Regulatory Authority (if any)		
Compliance & Regulatory		
Information	**Response**	**Notes/ Attachments**
مكافحة غسل اموال هل لديكم سياسة وتمويل ارهاب مكتوبة؟ Do you have AML/CFT policies?	☐ Yes ☐ No	
هل خضعتم لأي جزاءات تنظيمية خلال 3 سنوات؟ Any regulatory actions in the past 3 years?	☐ Yes ☐ No	
هل لديكم مسؤول امتثال؟ Compliance Officer?	☐ Yes ☐ No	
(SLA) | Service Level Agreement		
Question	**Response**	**Notes/ Attachments**
اتفاقية مستوى خدمة هل تقدمون مكتوبة؟ Do you provide a written SLA?	☐ Yes ☐ No	

مدة استجابة الدعم الفني؟ Response time & technical support?		
Required Attachments		
☐ Valid Commercial Registration السجل التجاري ساري المفعول	☐ Yes ☐ No	
☐ Articles of Association and Bylaws عقد التأسيس والنظام الأساسي	☐ Yes ☐ No	
☐ Privacy Policy سياسة الخصوصية	☐ Yes ☐ No	
☐ Cybersecurity Policy سياسة الأمن السيبراني	☐ Yes ☐ No	
☐ Service Level Agreement (SLA) اتفاقية مستوى الخدمة (SLA)	☐ Yes ☐ No	
To Be Completed by the company		
Item	**Description**	Note
الترخيص القانوني Legal Licensing	مزاولة رخصة التجاري، السجل من نسخة النشاط Copy of commercial registration, regulatory license	● Attached
الهيكل التنظيمي Organizational Structure	والمسؤولين الإدارة تفاصيل Management and compliance officers	● Attached
الإجراءات التنظيمية الداخلية Internal Compliance Procedures	الأموال وغسل الامتثال سياسات Compliance and AML policies	● Attached
السمعة من التحقق Reputation Check	والتنظيمي القضائي السجل من تحقق Legal and regulatory history	● Attached
العقوبات من التحقق Sanctions Screening	والدولية المحلية القوائم مطابقة Check against local/international lists	● Attached
الضوابط السيبرانية Cybersecurity Controls	البيانات حماية سياسات Data protection policies	● Attached
خطة استمرارية الأعمال Business Continuity Plan	الطوارئ مع للتعامل خطة Emergency and continuity plan	● Attached
تعارض المصالح Conflict of Interest	المحتملة العلاقات عن إفصاح Disclosure of potential conflicts	● Attached
الالتزام بالأنظمة Regulatory Compliance	للأنظمة بالامتثال تعهد Commitment to regulatory compliance	● Attached

Clause: Due Diligence and Compliance Obligations:

The second party (service provider) acknowledges that it is subject to regulatory due diligence in accordance with the Capital Market Authority's regulations and undertakes the following:

1. Provide all required information and documents to verify identity, organizational structure, accounting practices, and business continuity plans.
2. Fully comply with the Capital Market Institutions Regulations and Anti-Money Laundering and Counter-Terrorist Financing laws.
3. Promptly notify the first party of any material change in its legal, financial, or operational status.
4. Refrain from any conduct that may expose the first party or its clients to any regulatory violation.
5. Allow the first party or relevant regulatory authority to review its operations and records related to the contracted service upon request.

Declaration & Undertaking:

We, [.....], hereby declare that all the information provided above is accurate and up-to-date. We undertake to promptly notify **Tam Capital** of any material changes affecting service delivery, data integrity, or regulatory compliance.

Signature

Authorized Representative Name:	Signature:	Date:

Company Stamp: